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Japan FX

JPY carry: Four possible patterns for a reversal

CITI'S TAKE

We did not expect such a deep correction at this time, but recent price movements are fundamentally in line with our basically bearish outlook for the USDJPY. The interest rate spread and risk-reward balance for the carry trade have not met the conditions for past downturns in the USDJPY trend, but it could be that intervention to buy the JPY by the Japanese government has accelerated the timing of the peak. In this note we look at four scenarios, with a base scenario for the USDJPY to firm once at its 350-day moving average (now around ¥147.5/$) before rebounding no further than its 100-day line (currently some ¥155.5/$). That the longer-term risk is on the downside is in line with the view we have held for some time.

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Indications from fall in USDJPY

As we discuss in JPY carry: Why has the crash come earlier?, the interest rate spread and carry reward have not met the conditions prevailing at the time of past downturns in the USDJPY trend. However, intervention to buy the JPY by the Japanese government since 2022 has caused change in underlying supply/demand and may therefore have accelerated the peak for the USDJPY (Figure 1). In this case, the pair may not return to its high of last month but instead be vulnerable to increasing downside over the passage of time.

Recently it appears that a thesis of structural JPY weakness centering on long-term changes such as the digital account deficit has become dominant in Japan, but as we pointed out in JPY carry: Have the wings of Icarus melted away? in the past the USDJPY has fallen considerably when there has been a reversal in a market previously driven by JPY carry.

The weakness of the JPY caused by the Japanese financial crisis was reversed by the LTCM crisis when the USDJPY peaked at just above ¥147/$ in August 1998 and then fell below ¥110/$ in January 1999 (Figure 2). Then in November of the same year the pair fell to around ¥101/$. The total fall exceeded 30%.

Last time there was rampant JPY carry, the USDJPY peaked at just above ¥124/$ in June 2007 before falling to around ¥95/$ in March 2008. The pair then declined to below ¥80/$ in 2011, given the Fed's dramatic monetary easing in response to the GFC (Figure 2). That time the fall was close to 40%.

Figure 1. USD/JPY and Japan's FX interventions

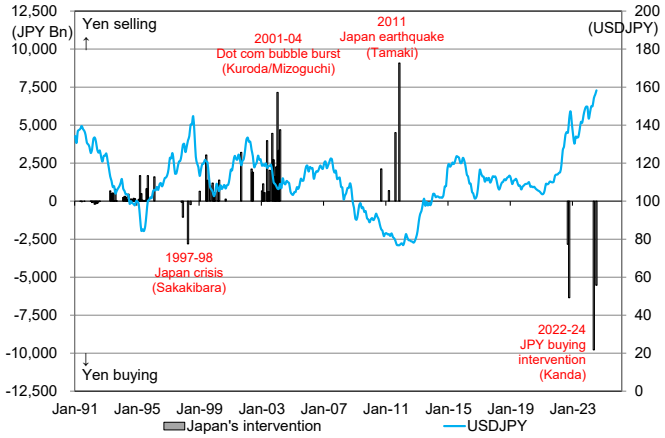

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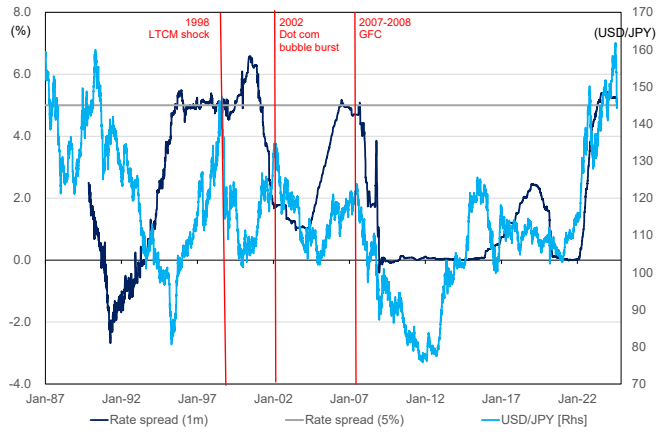
Figure 2. USD/JPY and one-month interest rate spread



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Why has the crash come earlier?

In the past there has tended to be a turning point in the USDJPY from an uptrend to a downtrend when the US-Japan short-term interest rate spread has fallen below around 4.75%. The BoJ hiked again last week and US employment statistics disappointed, boosting confidence that the FOMC will cut rates in September, so investors seem convinced that the US-Japan interest rate spread will fall below the critical threshold in the near future.

Figure 3 shows the ratio of the three-month interest rate spread divided by three-month volatility. While this is a very simple metric, it shows the risk-reward tradeoff for USDJPY carry. This ratio has just now fallen below 50% and close to

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40%, but it is still above the level at which there have been past downturns in the USDJPY.

However, there are precedents such as 1998 when the interest rate spread remained wide but a sudden fall in the USDJPY caused a rise in volatility that resulted in a sharp decline in this ratio that in turn caused further selling pressure and ultimately resulted in a negative spiral (Figure 4). At that time also the Japanese government had intervened to buy the JPY, something common to the current situation that we think warrants noting.

Figure 3. USD/JPY and three-month carry/vol ratio

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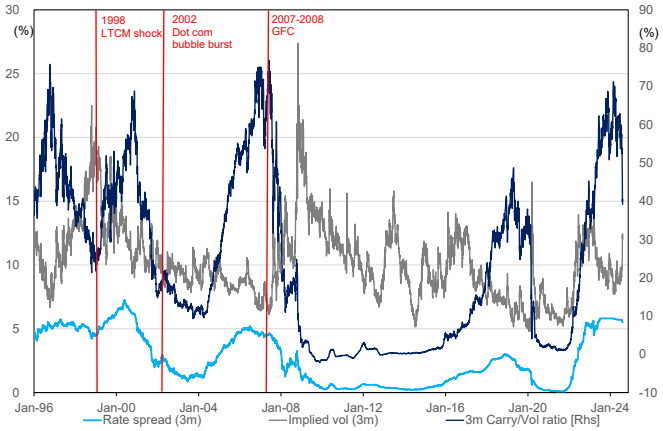
Figure 4. USD/JPY: Three-month carry/vol ratio



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Four scenarios for the USDJPY

We thus think it necessary to recognize that the USDJPY may have already formed its long-term ceiling at just below ¥162/$ last month, and that the pair may have already entered a downtrend. Below we suggest four possible reversal patterns hereafter.

1) Ascending triangle top (subjective probability of 10%)

This is close to what has been our base scenario to date. The USDJPY would bottom at the 350-day moving average (now around ¥147/$), and over around the next six months JPY carry again dominates and the USDJPY would again rises close to the high of just under ¥162/$ it reached last month.

In terms of supply/demand, JPY selling due to M&A deals already announced by Japanese companies would combine with the long-term USD-buying positions of SMEs to reignite speculative JPY carry.

However, overall upward pressure on the USD would subsequently ease perhaps around the year-end, while the interest rate spread would also narrow significantly with the Fed rate cuts. It will drive a turnaround to a genuine downtrend as the pair fell below the 350-day moving average (the lower end of the triangle and neckline).

In this case, a market environment recently characterized by risk avoidance would more or less regain stability, even if only temporarily, and the Fed's September rate cut would be only 25bp. The BoJ would then deliver another rate hike to 0.5% in December.

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2) Symmetrical triangle top (subjective probability of 50%)

Under this pattern too the USDJPY would bottom at the 350-day moving average (currently around ¥147.5/$), which has been an effective support line since last year (Figure 5), and rebound close to the 100-day line (now about ¥155.5/$). There would be a repeated tug-of-war between the effect of JPY-buying intervention to date and the effect of the interest rate differential. After such price patterns had been repeated two or three times a triangle would form with the upper end descending and the lower end ascending.

After that, when the interest rate differential had narrowed significantly, perhaps around the end of this year, the USDJPY would fall below the 350-day line (the lower end and neckline) and complete a triangle top formation, similarly to the first scenario. However, given near-term instability in the market, the Fed's September rate cut would be no more than 50bp in this case. Should the Fed rate cut stabilize market conditions, the BoJ would be able to hike to 0.5% at the December meeting.

3) Descending triangle top (subjective probability of 35%)

Under this scenario, the USDJPY would struggle to recover above the 350-day moving average (currently around ¥147.5/$) for a while, with the low of around ¥142/$ registered earlier this week being the support level. The possible bounce in coming months will be limited at around the 200-day moving average (currently around ¥151.5/$).

Then when the interest rate differential had narrowed significantly, the USDJPY would fall below the neckline (around ¥142/$) and complete the formation probably around the end of this year. The correction in US equities and other risk assets would be somewhat deeper, and as the market environment destabilized the markets would question whether the Fed rate cut in September should be 50bp or 75bp (but the actual cut would likely be 50bp at the end of the day). In this case, BoJ rate hikes would be less likely this year.

4) Island reversal formation, or the 1998 collapse type reversal (subjective probability 5%)

If there is some type of financial shock such as the LTCM crisis in 1998 and US equities decline by more than 20%, the unwinding of JPY carry positions accumulated in the past would be concentrated in a short period of time. The rate cut by the Fed this September would be 75bp. In this case, the USDJPY would not be able to recover the 350-day moving average (currently around ¥147.5/$) constantly and then could collapse to the ¥130/$ low of last year or to below. The markets would be considering a BoJ rate cut rather than a rate hike.

Long-term risk of JPY appreciation

As discussed above, when JPY carry has caused severe weakness in the currency in the past, such as in 1998 or 2007, the eventual fall in the USDJPY has been 30%–40%. In addition, we have compared this JPY weakness of the 2020s with that in the 1980s during Reaganomics. At that time, the USDJPY declined some 40% between the 1985 Plaza Accord and the 1987 Louvre Accord. Subsequently, it fell by a total of around 70% through 1995.

Naturally, we do not expect such a dramatic collapse in the USDJPY this time. However, given that even purchasing power parity (PPP) based on consumer prices is around ¥105/$, we believe there is still significant room for a long-term

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correction in the USDJPY even after the decline of 20-yen over the last month (Figure 6).

In this sense, we see the current decline in the USDJPY as only the beginning of the end for JPY carry. We are now entering a period in which we would consider selling the USDJPY into strength.

Figure 5. USD/JPY and major moving average

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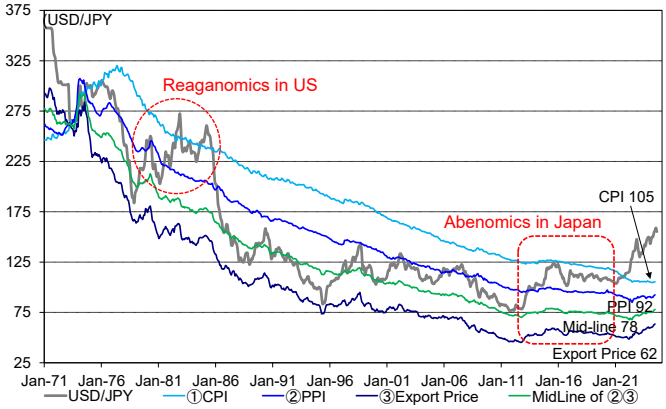
Source: Bloomberg, Citi Research.

Figure 6. USD/JPY Purchasing Power Parity (PPP)



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